

Table 68.6 Volume Statistics

Description	Bull Market	Bear Market
Volume trend	62% down	60% down
Rising volume trend performance	−14%	−22%
Falling volume trend performance	−15%	−22%
Heavy breakout volume performance	−15%	−22%
Light breakout volume performance	−14%	−22%

Does that surprise you? If you read some technical analysis texts on the subject, they'll often write something like, "If breakout volume doesn't spike, then don't trade the pattern." [Table 68.6](#) says it doesn't matter for triple tops (but it might for other chart patterns).

[Table 68.7](#) shows how often price reaches a stop location. I checked triple tops to see where the best place to stick a stop-loss order was. If you place it at the top of the pattern, it will rarely be hit as price drops to the ultimate low. Hide it at the bottom of the pattern and you'll likely be stopped out.

I knew a novice trader who placed his stops a few cents away from the current price. He continued to be stopped out within a few days, taking a small loss each time. He couldn't face the idea of risking more money by moving his stop farther away.

Don't be like him. Place your stops at a reasonable distance from the current price. Then convert the potential loss into a percentage of the current price and see if you need to adjust the stop location according to your tolerance for loss.

Sometimes, a stock is so volatile that you'll want to keep the stop farther away. A volatility stop may assist in determining the best location. Visit the Glossary for details and tell them Tom sent you.